The Czech National Bank’s first DLT bond and the new physics of the digital koruna

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For the first time in its history, the Czech National Bank has issued DLT bonds.

Test bonds.

We tested purchases, sales and interest payments.

We also tested repo transactions: lending against a DLT bond as collateral.

It worked.

We are announcing it today, 10 November. Here, and simultaneously in a press release.

The transactions ran on the DLT platform operated by the Prague Stock Exchange’s Central Securities Depository.

The counterparty was Česká spořitelna.

Each bond had a nominal value of CZK 10,000. We started small.

This is another CNB Lab project. A year ago, it was a digital portfolio: bitcoin, a USD stablecoin and a tokenised deposit. Today, it’s a DLT bond. Another step forward.

Why are we doing this? We want to be conservative in monetary policy and innovative in everything else.

We want low inflation and a strong koruna. A strict anti-inflationary policy.

And we are preparing for the future. We think long term. That’s why we innovate.

We want the koruna to be respected worldwide.

The new physics of the digital koruna will be crucial.

A small country’s currency has a future in the digital world if it rests on two factors:

A functioning market for koruna-denominated assets.

And a high-quality domestic settlement infrastructure.

Neither is enough on its own.

Think of a currency as a shop, with goods on the shelves and checkouts.

The one with the best-stocked shelves of securities has enormous strength. Internationally, that’s the dollar.

But increasingly, the checkouts will matter too: how quickly and reliably you can pay.

Give a small but strong currency fast checkouts and its market will grow faster.

Potentially even at the expense of a larger currency.

That’s why we introduced instant payments. Thanks to the excellent team at the CNB, money now moves instantly from one account to another. In the past, it could take up to two days.

And now we are taking another step forward: we have tested the next generation of checkouts: DLT. A possible platform for the future.

DLT, loosely speaking, is a shared ledger.

Today, everyone keeps their own records and then spends ages reconciling them. In DLT, there is a single record. The same for everyone.

The rules are written directly into the bond and execute automatically. Transactions can be settled 24/7.

This form of DLT takes what is useful from bitcoin and discards what regulated finance cannot use. No miners. The record is visible only to the counterparties.

The central bank must be involved from the outset, so that settlement has central bank money at its core, not private money such as stablecoins.

The goal is to create a large market for koruna-denominated assets that are easier to buy and sell than German Bunds.

And above all this stands artificial intelligence. One day, your digital koruna will be managed by an AI agent. It will collect your salary and negotiate your mortgage. At night, it will move your savings between three banks to earn a few extra basis points. It will not wait for opening hours. Ninety-five per cent of the koruna market could well consist of machines talking to machines. This is the future we are preparing for.

To sum up: the physics of the koruna tells us what supports it: shelves and checkouts, and below them trust in the Czech National Bank. Physics is about forces.

Today’s DLT bond is the first piece of that future. A shelf and a checkout at the same time.

And now for the mathematics. It tells us how the forces combine. Mathematics is about the equation.

A model presented at this year’s Jackson Hole conference did the maths: these two factors do not add up. They multiply. Shelves times checkouts equals the currency of the future.

Multiplication has one hard rule: if one factor is zero, the whole result is zero.

A strong currency grows by ensuring that no factor falls to zero.

Koruna-denominated shelves. Fast checkouts. AI above. Trust below. Cash alongside as an offline backup.

The Czech National Bank’s first DLT bond is still a small number in that equation.

But it’s a number, not a zero.

Thank you.

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